

OCT NOV 21/V12

We are interested in an option that leads to a leftward shift in “production of beans” and a rightward shift in “production of peas”

1A:

- A- A decrease in working hours may technically lead to a fall in the output of both goods i.e. peas and beans , but since , along-side it, a new machinery is introduced in order to improve productivity in pea-picking, **this will actually lead to an increase the output of peas** .So that means ,that in actual along-side a rise in output of peas, **there will also be a fall in the output of beans** ,since the hours given to production of beans may have reduced due to the working day being shortened. This is why option A becomes correct.
- B- Introduction of a machine that increases pea picking productivity only does justify a rise in the output of peas, but does not justify a fall in the output of beans.
- C- We cannot consider it correct because we are not aware of the old schedule of work.
- D- A reduction in working hours to 8 days only, may affect the output of both the crops, or any one ,depending upon ,the working hours of which crop are reduced, and we cannot say anything in this regard ,because we are not aware of the old work schedule.

2-D:

- A: Divisibility is a characteristic of money.
- B: Durability, on the other hand, is also a characteristic of money
- C: Portability is also a characteristic of money
- D:Importantly,medium of exchange is a function of money, thus making it correct.

3-A:

A: Flood defense schemes are an example of **pure public goods** as they are non-rivalrous in nature, that is , when consumption by one individual does not reduce the consumption for another individual. Moreover, they are also non-excludable as payment by one individual does not restrict others from enjoying the benefits of flood defense schemes, as even the non-tax payers get to consume it.This is why, this is correct.

B: **Public funded healthcare is an example of merit good as it generates external benefits , and it can be said a private good, because prices can be attached to them, or in other words, an allocative mechanism known as price mechanism can be used in determining resource allocation.** When the government directly provides it ,it becomes a **quasi-public good**, as even though it is **non-excludable** , now it exhibits characteristics of **rivalry**, that is , because since the facilities are limited ,when hospitals become over-crowded, not everyone will be able to avail health-services. This is why, this is incorrect.

C: When the government directly runs national parks ,it becomes a **quasi-public good**, as even though it is **non-excludable**, when there is no entrance fee being charged , now it exhibits characteristics of **rivalry**, that is , because a limited number of people can visit the national park due to restrictions , as noise is a nuisance to both: guests and animals, where wild-life is conserved , and when the allotted number are present there, the other remaining ones will not be able to visit the wildlife sanctuary.

This is why, this is incorrect. Moreover, it can also be said as a private good since prices can be charged for them.

D: The Internet is technically rivalrous in the sense that the computer networks on which it depends (its “physical layer”) accommodate a finite amount of traffic. At peak usage times, especially in congested sections of the network, users may receive a degraded experience.

Moreover, it is possible to exclude people from the Internet, as internet service is also charged by the Internet service providers, and those who do not pay the charge are excluded from using it. This makes it a **private good**, thus making this incorrect.

4-C:

A: The factor “capital” includes physical, man-made resources that are used in the production of other goods. Shares and deposit accounts at bank do not fit into this by definition.

B: The factor labor includes the physical and mental effort of workers and does not include human made resources. Human made resources used in the production of other goods represents “capital”

C: The factor land includes natural resources for example: forests and copper, this is why, this becomes correct.

D: The factor enterprise does take risk, but it is not rewarded with interest; instead it is rewarded with profits.

5-C:

A: A straight line that intersects the horizontal x-axis represents “inelastic supply”

B: A straight line that intersects the vertical y-axis represents “elastic supply”

C: A straight line that passes through the origin represents “unitary elastic supply” thus making it correct

D: A straight line that is vertical to the horizontal axis represents “perfectly inelastic supply”

6-D:

A - A change in the demand for good X will not result in a shift in the supply curve for good X. Whereas, an increase in the price of a substitute good will result in an increase in demand for the good, which will cause an increase in the equilibrium price, in turn resulting in an extension in quantity supplied. This does cause a movement along the supply curve, but overall this option becomes incorrect.

B - A decrease in factor productivity does result in a leftward shift in the supply curve for good X, but an imposition of a tax would also result in a leftward shift in the supply curve, thereby making this option incorrect.

C – An increase in the price of a complementary good would result in a fall in demand for the good, and not bring about a shift in the supply curve. Whereas, an increase in productivity does bring about a rightward shift in the supply curve, instead of a movement along the supply curve. This is why, this option is incorrect.

D – An increase in wage rates is responsible for a decrease in supply, in turn bringing about a leftward shift in the supply curve. Whereas, changes in demand for the good will result in changes in price, in

7-C

What is the government's total tax revenue from this tax?

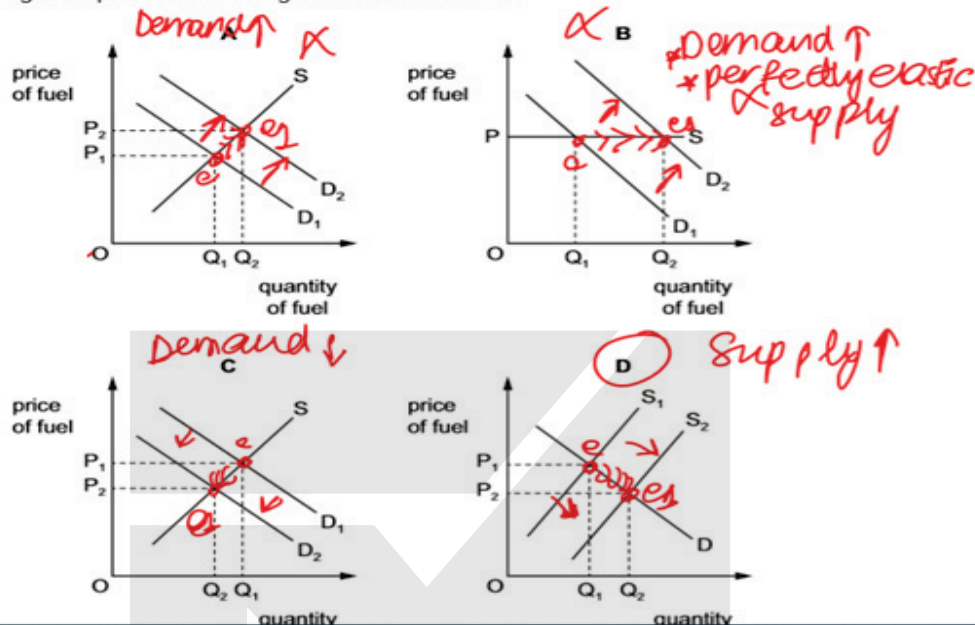


D: This represents the rationing function of the price mechanism , as it says that when the demand outpaces supply and there is a shortage ,equilibrium prices rise, and only those who are willing and able to purchase the good , or in other words, having effective demand will be left to purchase the good, **this means that , some consumers will not be able to buy it. This is why, this makes it correct.**

9-D:

9 In 2016 car drivers bought more fuel because the price of oil from which it was made had fallen.

Which diagram represents this change in the market for fuel?



A fall in the price of oil that is a key input in the production process for “fuel”, will cause a fall in the cost of production of fuel, thereby resulting in an increase in supply represented through a rightward shift in the supply curve for fuel from S_1 to S_2 , this is why option D is correct, and no other option can be correct.

10-A:

A: A rise in the price of pasta and rice that are substitute goods to bread will lead to a rise in demand for bread or **in other words a rightward shift in the demand curve**, since there is a positive relationship between the price of one good and demand for another, in case of substitutes. This is why, this is correct

B: A decrease in real incomes, that represent purchasing powers as they are adjusted with inflation, will reduce the demand for bread, if it is a normal good, or increase its demand, if it is an inferior good. We do not have any information available as to whether it is a normal or an inferior good.

C: Recession and rising unemployment represents a fall in incomes which will reduce the demand for bread, if it is a normal good, or increase its demand, if it is an inferior good. We do not have any information available as to whether it is a normal or an inferior good

D: A subsidy given to producers of pasta and rice will increase supply and reduce prices of pasta and rice, which will reduce the demand for bread that is a substitute good, since there is a positive relationship between price of one good and demand for another in case of substitutes.

11-C:

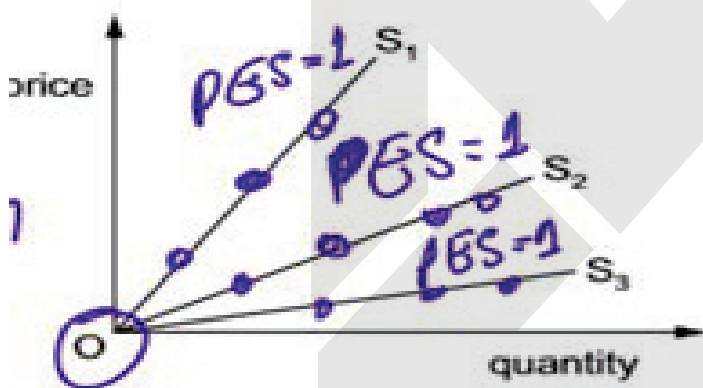
price of X (\$)	quantity of X demanded	quantity of Y demanded	quantity of Z demanded
5	100	60	20
4	110	50	22
3	140	30	28
2	200	15	40
1	300	4	60

There is a negative relationship between the price of good X and the qty demanded of good Z. A fall in the price of X brings about an extension in qty of Z, which means that "Z is a complement for X"



There is a positive relationship between the price of good X, and the qty demanded of good Y. "A fall in the price of X brings about a fall in the qty demanded of Y, which means that Y is a substitute for X"

12-D:

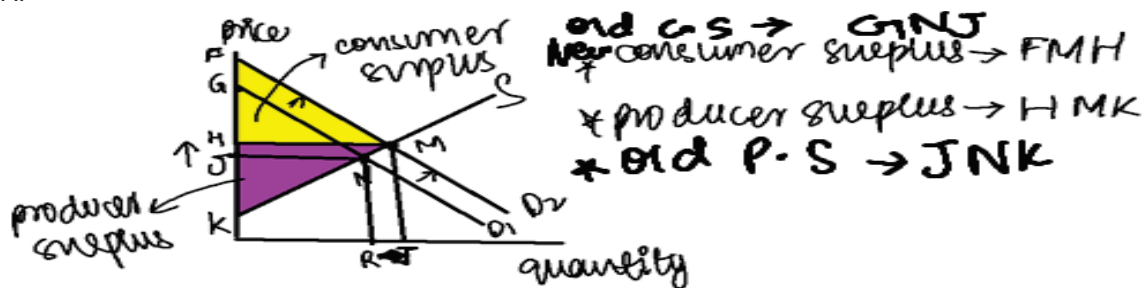


A, B, C: PES will be constant, that is, $=1$ throughout the length of all the curves.

This is why, options A, B and C are incorrect

D: Since the curves begin from the origin, unitary elastic supply (whereby $PES=1$) is represented. This makes the PES of each curve constant.

13-A:



Consumer surplus is the difference between the maximum amount a consumer is willing to pay, and the total amount he pays, that is, the market price. It is the area above the market price and below the demand curve.

Producer surplus is the difference between the minimum price a producer is willing to accept, and the price that he ends up charging, that is, the market price. It is the area below the market price and above the supply curve

14-B:

Privatization is the transfer of the state-owned assets from the hands of the public sector to the private sector.

This means that because of it, the size of the "public sector decreases"

And since we are told that there is no change in the output in the short-run, the proportion of industry output entering the market remains "unchanged"

This is why, option B, becomes correct.

15-A:

option A, A progressive income tax is characterized by high earners paying a higher proportion of their income in taxes than low earners. The tax rate increases as income rises, with the aim of reducing income inequality and redistributing wealth from the wealthy to the less well-off. This is why, A becomes correct.

Option B, where high earners pay a lower proportion of their income in tax than low earners, describes a regressive tax system. This system is the opposite of a progressive tax and can exacerbate income inequality.

Option C, where high earners pay the same proportion of their income in tax as low earners, describes a proportional tax system. In this system, everyone pays the same percentage of their income in taxes, regardless of their income level.

Option D, where low earners pay more tax than high earners, is not an accurate description of any tax system.

16-B:

The correct answer is B - to increase merit good provision.

Nationalization involves the transfer of ownership and control of private firms or industries to the government.

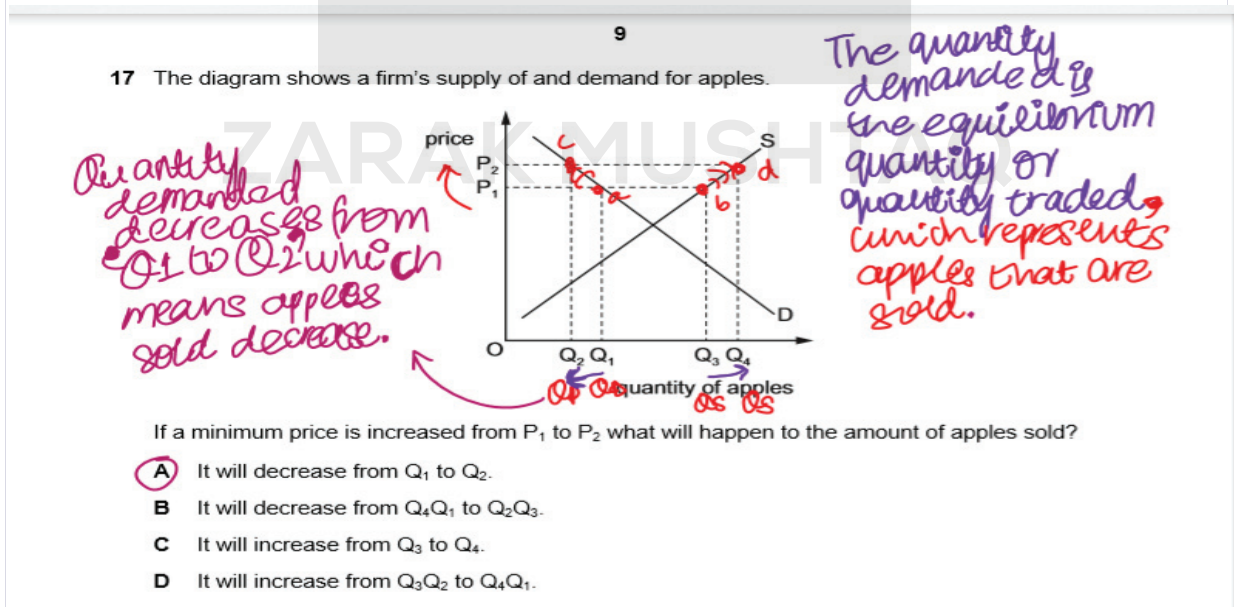
Option A, to gain greater efficiency due to more competition, is not a reason for nationalization. Nationalization results in the elimination of competition and the creation of a government monopoly, which may reduce efficiency due to a lack of competition.

Option B, to increase merit good provision, is the most likely reason for nationalization. Merit goods are goods that are considered to be beneficial to society, but which may be underprovided by the private sector due to under-realization and under-valuation of their true benefits leading to a market failure. By nationalizing a firm that provides merit goods, the government can ensure that these goods are provided to the public at affordable prices or even free of charge. Examples of merit goods include healthcare, and education, thus making this correct.

Option C, to increase choice for the consumer, is also not a reason for nationalization. Nationalization may reduce choice since the government will have complete control over the firm and may limit its operations or products. **Increased competition is a result of privatization, and when numerous private sector firms compete with each other, to provide consumers with the goods and services they need and want, there will be a higher output produced, resulting in greater choices.**

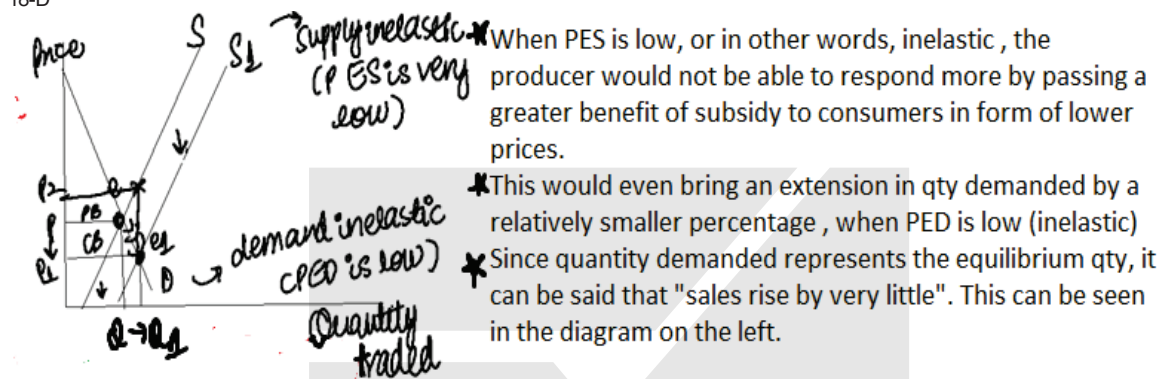
Option D, to raise more tax revenue, is not a direct reason for nationalization. This is because tax revenues would have been generated if "private sector firms" existed.

17-A:



A- An increase the level of minimum-price from P_1 to P_2 , will result in a further contraction in quantity demanded of apples from Q_1 to Q_2 . Since quantity demanded represents the quantity traded, as it is the quantity of apples that will be sold in the market, the number of apples traded or sold will decrease from Q_1 to Q_2 , which represents the new qty traded. This is why, this option is correct. This can be seen in the diagram above.

18-D



19-B:

A) The existence of floating exchange rates: This option is incorrect because floating exchange rates refer to the system when exchange rate is determined by the market forces of demand and supply, and is not related to a country's output of pharmaceuticals.

B) The law of absolute advantage: This option is correct because the law of absolute advantage states that a country can produce a good with fewer resources than other countries. **This means that Germany may have a higher output of pharmaceuticals per unit of resources used, because it has an absolute advantage in producing pharmaceuticals compared to Pakistan.**

C) The Marshall-Lerner condition: This option is incorrect because the Marshall-Lerner condition refers to the responsiveness of a country's exports and imports to devaluation/depreciation, and is not directly related to a country's output of pharmaceuticals.

D) The terms of trade: This option is incorrect because the terms of trade refer to the ratio at which a country's exports are exchanged for imports, and is not directly related to a country's output of pharmaceuticals

20-C:

A) Inflation will lead to a rise in exports: This statement is incorrect because high inflation can make a country's exports less competitive by increasing the price of its goods compared to those of other countries.

B) Inflation will lead to a rise in real incomes: This statement is incorrect because inflation can erode the purchasing power of incomes, if the rate of rise of nominal incomes is lesser than the rate of inflation, and thereby reduce the real value of wages and salaries.

C) Inflation will lead to a rise in the cost of living: This statement is correct because inflation can increase the prices of goods and services, which means that people will need more money to maintain the same standard of living.

D) Inflation will lead to a rise in the purchasing power of money: This statement is incorrect because inflation erodes the purchasing power of money, meaning that people can buy fewer goods and services with the same amount of money over time.

21-C:

The correct option is C. The balance of payments must always balance because of the accounting principles that govern it. The balance of payments has two main components: the current account and the capital and financial accounts. The current account measures a country's trade in goods and services, while the capital and financial accounts measure the flows of investment and financial transactions.

By definition, the current account balance must be equal to the capital and financial account balance, meaning that the inflows and outflows of a country must balance out. This ensures that every transaction in the economy is accounted for and that the balance of payments remains in equilibrium.

THIS IS SIMILAR TO A BALANCED SHEET: CURRENT ACCOUNT = CAPITAL+FINANCIAL ACCOUNTS

Option A is incorrect because exchange rate changes can only correct imbalances in a floating exchange rate system, this means that, this becomes incorrect.

Option B is incorrect because while one country's deficit can be balanced by another country's surplus, this does not necessarily guarantee that the balance of payments as a whole will be in equilibrium.

Option D is incorrect because while the government can take actions to correct imbalances, it is not the only factor that determines the balance of payments .(Focus on the word “must”)

22-C:

C) The correct answer is C because voluntary export restraints are often used as bargaining tools in international trade negotiations. By imposing voluntary export restraints, country X can signal to country Y that it is serious about protecting its domestic industries .**This can lead to negotiations for improved trading conditions between the two countries , as countries voluntarily restrict their exports to other countries.**

A) Option A is incorrect because voluntary export restraint is a temporary measure and will not achieve an “immediate” long-term correction for X’s balance of trade deficit.

B)Option B is incorrect because voluntary export restraint is not a measure to increase GDP, but rather a measure to restrict trade.

D)Option D is incorrect because voluntary export restraint may protect domestic industries in country X, but it does not necessarily lead to an increase in employment in the short run. This will be incorrect

23-D:

A and B : We can not comment upon whether the BOT position improved or worsened because we do not have information about price elasticity of demand to identify the impact of changes in prices of exports and imports on export revenues and import expenditures

Why D and Why not C?

Terms of trade is the ratio of export prices to the ratio of import prices.

In this question, import prices are rising at a faster rate than export prices, which means that, there is a decrease in terms of trade.

** Initially:*

$$TOT = \frac{100}{100} \times 100 \Rightarrow 100$$

Note: TOT = $\frac{\text{Exp prices}}{\text{Imp prices}} \times 100$

Now $\Rightarrow \frac{105}{95.45} \times 100$

$\rightarrow 110 \uparrow$

$95.45 (TOT \text{ fell})$

24-B:

An increase in indirect taxes will increase the costs of production of firms, leading to a fall in Aggregate supply and in turn shortages, and a rise in general price level, representing cost push inflation. **Cost push inflation will rise**

A resultant rise in prices may then decrease real incomes, and in turn this erosion of purchasing powers may lead to a fall in consumption, and in turn Aggregate demand, leading to a **fall in demand pull inflation**

This is why, B becomes correct

25-A: Laura has the lowest opportunity cost (highest comparative adv) in producing biscuits.

25 The table shows the number of biscuits and cakes that can be produced by four workers in an hour.

	Laura	Mo	Nathan	Omar
biscuits	6	10	13	8
cakes	3	10	12	16

Omar:

$$8 : 16$$

$$1 : 2$$

Who has the greatest comparative advantage in producing biscuits?

- ☒ A Laura
- ☐ B Mo
- ☐ C Nathan
- ☐ D Omar

Nathan:

$$13 : 12$$

$$1 : 12/13$$

$$1 : 0.92$$

** Laura:*

Biscuits : cakes

$$6 : 3$$

$$1 : 3/6$$

$$1 : 0.5$$

Mo:

$$10 : 10$$

$$1 : 10/10$$

$$1 : 1$$

Laura has the lowest opp. cost ratio.

26-C:

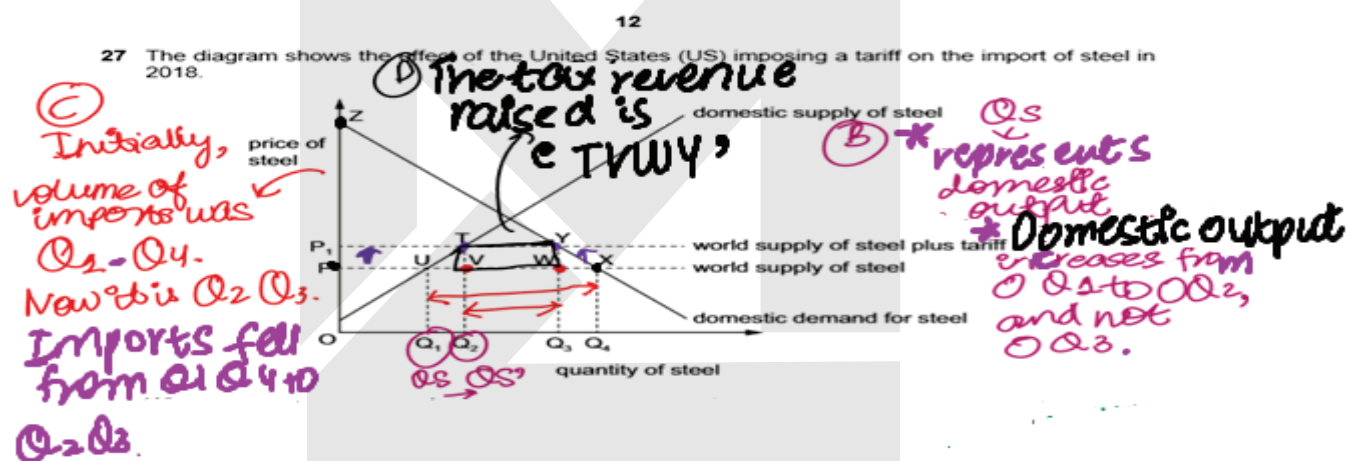
A: According to the Marshall Lerner condition, the combined sum of price elasticities of demand for imports and exports must be greater than 1, or in other words, elastic, for depreciation to be beneficial. This is absolutely incorrect to say that the PES for "imports" and "exports" must be elastic.

B: This does not have any link to Exchange rate.

C: According to the Marshall Lerner condition, the combined sum of price elasticities of demand for imports and exports must be greater than 1, or in other words, elastic, for depreciation to be beneficial. This is why, this becomes "CORRECT"

D: This is also completely irrelevant as it is the Marshall Lerner condition which is necessary for understanding the impact of depreciation on current account.

27-C:



A- It is producer surplus that falls from P_1TQ to PUO .

Consumer surplus falls by $P_1 \times YP_2$.

Initial CS: $P_1 \times XZ$
 New CS: $P_2 \times YZ$

28-C:

A) Decreasing import tariffs would lead to a decrease in government revenue, which could worsen the budget deficit rather than improve it. Additionally, it would not directly address the underlying issues causing the deficit.

B) Decreasing the rate of interest could stimulate borrowing and spending, which may help to increase economic activity and tax revenue, but it will not be as effective in raising tax revenue in the "short-run"

C) Selling state-owned assets can generate revenue for the government in the short run and reduce the need for borrowing. This revenue can be used to pay off debt or finance government programs, thereby reducing the budget deficit.

D) Increasing government pension payments would increase government spending and could worsen the budget deficit rather than improve it.

29-B:

B -is **correct** because if consumers expect prices to rise even faster in the future, they may rush to buy goods and services in the present, causing an increase in aggregate demand and potentially exacerbating inflation.

A- is incorrect because if aggregate supply is increasing faster than aggregate demand, it could lead to a decrease in prices, not an increase in inflation, so raising interest rates may still be effective in reducing inflation.

C -is incorrect because if consumers' spending is largely paid for on credit, increasing interest rates may make it more expensive to borrow, leading to a decrease in aggregate demand and potentially reducing inflation.

D- is incorrect because interest rates being higher abroad may lead to capital outflows and a decrease in demand for a country's currency, which could lead to depreciation. In the short run, however, depreciation may lead to a BOT deficit, helping to reduce net injections from the circular flow, in turn reducing inflation.

Individuals may save abroad now, which means that domestic consumption reduces, which means that inflation also reduces because of a fall in Aggregate demand.

30-A:

In this scenario, the most effective policy combination to reduce inflation would be to increase direct taxes and fix the exchange rate above the purchasing power parity. Here's why:

1. Higher Direct Taxes: Increasing direct taxes will reduce disposable income and in turn consumption and consequently, aggregate demand in the economy. This will help reduce inflationary pressures by decreasing demand-pull inflation.
2. Fixed Exchange Rate Above Purchasing Power Parity : A fixed exchange rate above the purchasing power parity will result in an appreciation of the domestic currency. This will make imports cheaper and exports more expensive, and in the long run, it may lead to a Balance of trade deficit and these net-leakages from the circular flow, will lead to a decrease in aggregate demand, thereby helping to reduce inflationary pressures.

